HEADNOTE

*"1. If a court order is not complied with by a party, the court of first instance of the relevant chamber may decide, at the request of the other party or of its own motion, on the imposition of the penalty payments provided for in the order. The decisive criterion for determining the amount of the penalty payment is the importance of the order and thus ultimately the creditor's interest in its enforcement, which may, for example, consist in distributing the patented products.*

*2. The penalty payment is intended to reliably deter the debtor from future breaches and violations and therefore primarily serves a coercive function. However, the penalty payment also constitutes a sanction akin to a penalty for violation of the court's injunction, and therefore the imposition of penalty payments requires, as an unwritten element of the provision, that the debtor acted culpably.*

*3. The dual purpose of the penalty payment requires that the assessment of the penalty payment be made primarily with regard to the debtor and its conduct. In particular, the following must be taken into account: the nature, scope and duration of the breach, the degree of culpability, the advantage gained by the infringer from the infringing act, and the dangerousness of the infringing acts committed and possible future infringing acts for the injured party.*

*4. The debtor's past conduct constitutes a significant, though not necessarily the sole, indicator of the amount of penalty payment to be imposed. The more frequently and intensively the debtor has violated the obligation to refrain imposed on it, the clearer it has expressed its unwillingness to comply with the injunction. The assessment of the penalty payment must take this into account: if the debtor has previously violated the injunction on multiple occasions, the necessary pressure must be increased to force it to comply with the order in the future. Correspondingly, the penalty payment in question must be set higher. Conversely, if the debtor has made serious efforts to comply with the injunction, this must be taken into account in its favour.*

*5. The concept of "offer" within the meaning of Article 25(a) UPCA is to be understood purely economically in patent law. In the case of a product, it encompasses any act committed within the scope of the European patent in question which, by its objective explanatory value, makes the subject matter of demand perceivable as available for acquisition of ownership. Therefore, the display of goods at a trade fair taking place within the scope of the respective patent constitutes an offer within the meaning of this provision.*

*6. For an offer to exist, not all features of the patent claim need to be shown in the*

> *advertising and thus also at a trade fair stand, if, upon objective consideration of the circumstances actually present in the dispute, it must be assumed that the product displayed in its technical design corresponds to the subject matter of the patent. The decisive factor is whether the design in accordance with the patent can be reliably inferred from the existence of other objective circumstances. A significant aspect in this regard is the perception of the relevant circles of trade regarding the objective explanatory value of the advertising, which is to be determined taking into account all factual circumstances of the individual case."*

COURT
Local Division in Düsseldorf

PROCEEDINGS
Application for provisional measures

PATENT
**EP 2 546 134 B1**

Combination structure of bicycle frame and motor hub

KEYWORDS
Preliminary measures | Injunction | Infringement | Enforcement | Penalty payment | Warning | Imposition | Amount | Culpability | Offer | Trade fair | Instagram account | Shopping Sunday | Security deposit

**Article 25** Right to prevent the direct use of the invention

SUMMARY
The Local Division in Düsseldorf ruled on an application for provisional measures. The patent at issue relates to a combination structure of bicycle frame and motor hub. According to the headnotes of the decision, a court of first instance may impose penalty payments on a party that fails to comply with a court order, based on the importance of the order and the creditor's interest in enforcement, such as distributing patented products. Penalty payments serve both a coercive function to deter future breaches and a sanctioning function for violations of the injunction, which means they require culpable conduct by the debtor as a prerequisite. The assessment of penalty payments must focus primarily on the debtor and its conduct, taking into account the nature, scope and duration of the breach, the degree of culpability, the advantage gained by the infringer, and the risk posed by the infringing acts to the injured party. A debtor's previous violations of an injunction are a significant indicator of the amount of penalty payment to be imposed, as repeated breaches demonstrate unwillingness to comply and therefore justify higher penalties, whereas serious efforts to comply should be considered in the debtor's favour. Within patent law, the concept of "offer" under Article 25(a) UPCA means any economically relevant act that makes a product objectively perceivable as available for acquisition, such that displaying goods at a trade fair within the scope of a patent constitutes an offer. For an offer to exist, all features of the patent claim need not be visible in advertising or at a trade fair stand if the technical design can be reliably inferred from the objective circumstances, particularly by reference to how relevant trade circles would perceive the explanatory value of the display.